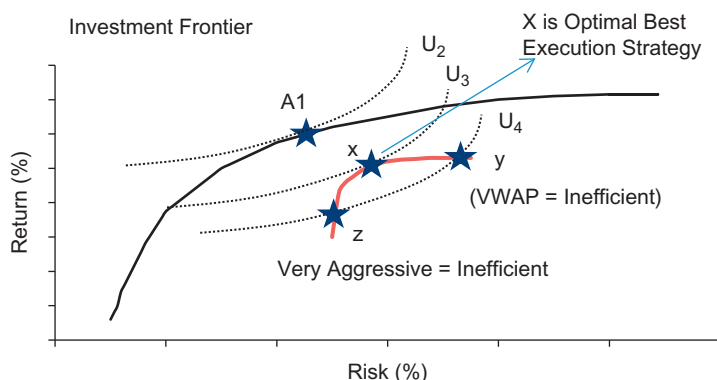




Important Note: The passive VWAP Strategy "y" and Very Aggressive Strategy "z" have identical investor utility and are both are inefficient strategies!

■ **Figure 10.5** Using Indifference Curves to Determine the Most Appropriate Execution Strategy. Source: *Journal of Trading* (2007).

effect on investor utility and thus the investor is indifferent as to whether they trade aggressively or passively.

But investors can achieve higher results. Indifference curve U_3 is higher than U_4 and so provides the investor with a higher level of utility. Additionally, curve U_3 intersects with a single trading strategy x . Therefore, strategy x is the single strategy that maximizes investor utility and represents the single best execution strategy. It is also the strategy that is most consistent with the investment objective.

There are two additional insights that need to be highlighted. First, the VWAP strategy represented by strategy y is not necessarily consistent with the investment object because it results in a lower level of investor utility. The VWAP strategy corresponds to U_4 which is below the optimal utility U_3 corresponding to strategy x . Investors wishing to hold portfolio A1 and trade via VWAP are not aligning their trading decisions with their investment goals. Investor utility is not being maximized to its fullest extent.

Second, the VWAP strategy is also associated with the same level of investor utility as an aggressive strategy denoted as z on the ETF. Since both strategies lie on the same investor utility curve U_4 they are providing the same level of happiness and investor utility. Here we have what appears to be two conflicting strategies but with the same level of utility, which means that investors are completely indifferent as to which strategy they use to acquire portfolio A1. But neither strategy is the preferred strategy since they are not associated with the highest value of utility.